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KSE-100 V

169,043

▲ 0.61% Thu ·
+1,021 pts

S&P 500 V

▲ **1.14%**

Nasdaq +1.69% ·
Dow +0.62%

US 10Y / 2Y V

4.93 / 4.67

yields ease · Fed
sees one more
2026 hike

BRENT / WTI V

\$104.82 / \$101.95

▼ on pipeline-
repair progress

GOLD V

\$4,311

+1.12% · silver
\$65.52

USD/PKR V

277.37

interbank · steady

01 Five Things You Need To Know To Start Your Day

PSX REBOUND ON OIL RELIEF

The **KSE-100** reversed Wednesday's selloff, gaining 1,021.40 points (+0.61%) on Thursday to close at 169,043.20 after swinging between an intraday low of 168,223 and a high of 169,577. The broader All-Share Index added 688 points (+0.68%) on volume of 383 million shares across the market, with KSE-100 turnover of roughly 125 million shares worth Rs13.45bn. Exploration & production (+339 index points), commercial banks (+304) and cement (+149) led the advance as overnight weakness in oil — Brent touching as low as \$103/bbl intraday — eased concerns over Pakistan's import bill and inflation outlook; MDTL, Cnergyico, Nishat Chunian, Pakistan Refinery and Bank of Punjab topped the volume leaders. [24NewsHD](#) and [Daily Independent](#) confirm the print. Sentiment: **oil-driven relief rally**.

WALL STREET SNAPS BACK POST-FED

US equities reversed Wednesday's hawkish-Fed selloff: the **S&P 500 climbed 1.14% to about 7,637**, the **Nasdaq jumped 1.69% to roughly 26,418**, and the **Dow rose 0.62% to near 51,779**, with technology leading and only communication services and financials lagging. The rebound came as investors read Chair Kevin Warsh's inflation-focused press conference as evidence the Fed intends to keep inflation from becoming entrenched, rather than as a signal of runaway tightening. [Yahoo Finance](#) and [TheStreet](#). Sentiment: **post-Fed relief**.

YIELDS EASE, BUT FED FLAGS ONE MORE HIKE

The **10-year Treasury yield slipped over 7bp to about 4.93%**, pulling back from a fresh 52-week high near 5.02% touched right after Wednesday's decision, while the 2-year sits near 4.67%. Even so, the September dot plot's end-2026 dots cluster around 4.00%-4.25% — roughly a dozen officials still see one further 25bp hike this year — keeping the higher-for-longer narrative alive despite Thursday's bond-market relief. [CNBC](#) and [Seeking Alpha](#). Sentiment: **relief with a hawkish caveat**.

OIL EXTENDS ITS PULLBACK

Brent settled at \$104.82/bbl (–\$1.01) and WTI at \$101.91 (–\$0.52), extending Wednesday's slide as US officials reiterated Saudi Arabia's drone-damaged East-West pipeline is on track to resume operations within days, further easing the acute phase of the Hormuz-linked supply scare. OPEC+ has separately signalled it expects to hold quotas steady through year-end after completing its planned 188,000 bpd September restoration, even as it flagged continued risk to regional energy infrastructure. [CNBC](#) and [Energy Connects](#). A cheaper barrel is a direct tailwind for Pakistan's import bill and Thursday's PSX rally. Sentiment: **import-bill relief**.

GOLD & SILVER CLAW BACK GROUND

Gold rebounded 1.12% to about \$4,310.80/oz and silver jumped 2.94% to roughly \$65.52, recovering ground surrendered in the immediate wake of Wednesday's hike as bargain buyers returned and a softer oil tape eased the session's inflation impulse; the gold/silver ratio compressed to about 65.8, pointing to renewed physical demand for the white metal. Separately, Congress's push to regulate AI stalled as the House adjourned Wednesday until November without acting, leaving the issue to simmer through the November 3 midterms, while Gulf non-oil momentum stayed firm — Saudi PMI hit a six-month high of 53.8 and the UAE's composite reading rose to 55.3, its strongest since late 2024. [USAGOLD](#), [CNBC](#) and [Arab News](#). Sentiment: **safe-haven bid resumes**.

02 Regional Market & Economic Matrix

A. Local Market — Pakistan Focus

Thursday's 0.61% PSX rebound to 169,043.20 clawed back most of Wednesday's geopolitics-driven pullback, with breadth turning positive (All-Share +0.68%) as exploration & production, commercial banks and cement led on the back of softer oil. The **State Bank held its policy rate at 11.5%** at its September 14 MPC meeting even as August CPI printed at **11.1% y/y** — up from 9.2% in July and 3.1% a year earlier — per [Business Recorder](#); 6-month KIBOR sits near 11.86% per [SBP](#). The rupee held broadly steady around 277.27-277.47 interbank, per [Business Recorder](#). Pakistan and the IMF open talks around September 22 on the fourth EFF and third RSF reviews, alongside the first Article IV consultation in two years covering revenue collection, energy-sector viability and governance reforms, per [PhotoNews Pakistan](#).

B. GCC & Middle East

Oil's risk premium kept easing: Brent and WTI both slipped further on Thursday as US officials reiterated Saudi Arabia's damaged East-West pipeline is on track to restart within days, per [CNBC](#). **OPEC+ has signalled it expects to hold output steady through year-end** after completing its planned 188,000 bpd September restoration, wary of continued disruption risk to Gulf energy infrastructure. Non-oil momentum stays firm — Saudi Arabia's PMI rose to 53.8 in August, a six-month high, per [Arab News](#), while the UAE's composite reading climbed to 55.3, its strongest since late 2024, per [Dubai Chronicle](#). Riyadh's PIF kept executing its 2026-2030 strategy, having launched the Gulf Coast Development Company on September 7 to build an integrated coastal destination at Al-Khafji in the Eastern Province, per [PIF](#).

C. Global Intelligence

Wall Street reversed Wednesday's post-Fed selloff on Thursday, with the S&P 500 up 1.14%, the Nasdaq up 1.69% and the Dow up 0.62%, as investors read Chair Kevin Warsh's inflation-focused message as disciplined rather than alarmist, per [Yahoo Finance](#). The 10-year Treasury eased to about 4.93% from a fresh 52-week high near 5.02%, even as the Fed's dot plot still points to one more 25bp hike by year-end 2026 to a 4.00%-4.25% range, per [Seeking Alpha](#). Separately, **the House adjourned Wednesday until November** without acting on AI regulation, leaving the issue to simmer through the November 3 midterms despite bipartisan pressure to legislate before the recess.

03 Legislative & Regulatory Tracker — Who Wins, Who Loses

Jurisdiction	Legislation / Policy Change	Affected Sector(s)	Net Impact & Strategic Outlook
Local — Pakistan	IMF's 4th EFF/3rd RSF review and first Article IV consultation in two years open ~Sep 22, covering revenue collection, energy-sector viability and governance reforms	Banks, Sovereign Eurobonds, Energy, External Accounts	Wins: banks and sovereign credit positioned for a further disbursement path if end-June targets are confirmed met, aided by a softer oil import bill Losses: energy and revenue-side sectors facing fresh IMF scrutiny on tariffs, tax collection and governance-diagnostic implementation
Regional — GCC	OPEC+ signals steady output through year-end after completing its September restoration, while PIF advances its 2026-2030 strategy via the new Gulf Coast Development Company	Energy, Tourism, Logistics, Coastal Development	Wins: Gulf oil exporters still capturing an elevated, if easing, price premium; PIF-backed tourism and logistics allocations under the Al-Khafji coastal project Losses: Gulf and Asian oil-importing economies still absorbing a higher landed crude cost than pre-crisis levels
Global	Fed's hawkish dot plot signalling one more 2026 hike lands as Congress adjourns without AI rules ahead of the Nov 3 midterms	Rate-Sensitive Equities, Bonds, AI/Tech	Wins: the dollar and short-duration savers on a still-tightening rate path; AI incumbents facing no near-term federal guardrails Losses: long-duration bonds and rate-sensitive growth names pricing a higher terminal rate; child-safety AI advocates whose proposals stall until after midterms

04 The Day Ahead — KSE-100 Levels & Desk Stance

SUPPORT EST.

168,223

Thursday's session low; deeper support at the 166,500 handle

PIVOT EST.

169,043

Thursday's close

RESISTANCE EST.

169,577

Thursday's intraday high; then the 170,000 handle

We read Thursday's 1,021-point rebound as confirmation that Wednesday's selloff was a geopolitics/Fed-driven overreaction rather than a trend reversal, with softer oil doing the heavy lifting for both the import-bill narrative and index breadth. That said, the Fed's dot plot still points to one more 2026 hike, and Pakistan heads into the September 22 IMF review — a binary catalyst that will matter more than any single session's tape. **We would look for a clean break above 169,577 to open a run at 170,000, while a close back below 168,223 would flag that Thursday's bounce was tactical, not structural.** All levels are indicative desk estimates, not recommendations.

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